

CHANDRADEEP KUMAR

A TIGHTROPE OPERATION
Doctors performing a surgery at a hospital in Gurugram

"AATMANIRBHAR BHARAT IS CRITICAL FOR HEALTHCARE RESILIENCE. THIS YEAR, THE BUDGET FOR HEALTHCARE WAS INCREASED TO STRENGTHEN DOMESTIC MANUFACTURING OF CRITICAL MEDICAL SUPPLIES AND DRUGS SO THAT WE CAN BE INSULATED FROM FUTURE GLOBAL SHOCKS"

— DR. V.K. PAUL
Member, NITI Aayog

Pharmaceutical companies are currently absorbing costs of more expensive raw materials. Many hospital administrators say operating costs are rising, but are not yet being passed fully to patients.

What is Being Done

To reduce the fall in patients from foreign countries, many large hospitals are trying to diversify medical tourism markets towards Africa, Central Asia, and Southeast Asia, while pharma companies are increasing inventories and rerouting shipments through alternative logistics routes. Diagnostic equipment companies are also promoting helium-efficient MRI machines to reduce dependence on imported helium. Experts say the situation is not yet alarming and healthcare services remain stable for now, but hospitals are closely monitoring supply chains and costs.

What More Needs To Be Done

For starters, India must find ways to increase domestic API (active pharmaceutical ingredients) manufacturing to reduce import dependence and build strategic raw material reserves. India is a leader in generic drugs, but its manufacturing base need to be widened. The country also needs to expand cold-chain storage for better logistics. Considering the looming crisis over helium, the nation must invest in helium recycling, build up strategic helium reserves and buy more helium-free MRI machines. There also needs to be a boost to medical device manufacturing in India. Hospitals face an increase in operating costs due to rise in energy prices (generators use diesel)—investing in solar power is important. Prominent Indian hospitals can consider opening units in Africa, Central Asia and Southeast Asia. India also needs to aggressively promote itself as a destination for medical tourism. Finally, if prices of drugs spiral out of control, the Centre may need to introduce price monitoring. ■